

Mitsubishi Electric (6503)

Announces acquisition of US-based PCI for \$1.4 billion to strengthen energy solutions

Mitsubishi Electric announced on August 20 that it would acquire PCI Energy Solutions (PCI), a provider of software to energy companies, for \$1.4 billion. The transaction is scheduled to close in 2026. We think the move aligns with the company's medium-term direction of strengthening solutions for the power infrastructure market, which is likely to grow longer term, and shifting its earnings structure from hardware to solutions. It is difficult to determine now whether the acquisition price is attractive, but we view the move as a proactive one toward medium-term expansion as the infrastructure business, including energy systems, UPS/BESS, and defense, becomes increasingly important within the conglomerate.

- Overview of PCI:** Headquartered in Oklahoma, US, PCI was founded in 1992. It has about 370 employees and generated \$82 million in sales in 2025. It provides solutions for power companies, including (1) energy management (supply and demand optimization, market trading, and risk, outage, and transmission management), (2) AI and analytics (power generation and demand forecasting), and (3) platforms (data analytics and SaaS platforms). It is very familiar with all ISOs (independent system operators) and RTOs (regional transmission organizations) in North America, and about 60% of power generation in the US market (on a volume basis) uses its platform given the company's expertise in and knowledge of handling diverse power sources. It has a SaaS-based revenue model with an NRR of 113%.
- Outlook:** Management said the acquisition will serve as a cornerstone for achieving its FY2030 target for sales in the energy solutions business of ¥200 billion (with an operating margin of 28%), compared with FY2026 guidance of ¥100 billion (margin of 16%). Of the FY2030 sales target of ¥200 billion, we believe the company envisions PCI accounting for ¥25 billion and synergies for ¥55 billion. While PCI's stand-alone margin and valuation at the time of acquisition are undisclosed, management notes that the IRR exceeds the 8% cost of capital. In addition, the ROIC of the energy systems division handling the acquisition is expected to temporarily drop by 3ppts from 12.4% in FY2025 owing to the acquisition, but management aims to get ROIC back above the pre-acquisition level by FY2030.
- Significance of acquisition:** This acquisition is expected to strengthen smart energy, one of the three pillars driving the company's medium-term growth (the others are automation and defense & space). Amid growth in electricity demand, the power market is becoming increasingly complex, with diversification of power sources (including renewable energy), consumers (including data center operators), and players (including power companies, IPPs (independent power producers), and aggregators). We expect growth in demand for efficient power operation through supply and demand optimization and market trading. We think Mitsubishi Electric, which has a leading position in Japan with BLEnDer, a supply/demand management and market trading software solution for power companies, will be able to establish a similar position in North America through this acquisition. Over the medium term, we expect the company to increase profits as margins rise by strengthening

Overweight

6503.T, 6503.JP

Price (20 Aug 26): ¥5,655

Price Target (Dec-26): ¥7,000

Japan Equity Research**Technology - Consumer Electronics/
Industrial Electronics/Precisions****Junya Ayada** ^{AC}

(81-3) 6736 8631

junya.ayada@jpmorgan.com

Mio Shikanai

(81-3) 6736 1313

mio.shikanai@jpmorgan.com

JPMorgan Securities Japan Co., Ltd.

services and applications based on this solid business foundation while also cross-selling and up-selling.

Investment Thesis, Valuation and Risks

Mitsubishi Electric (6503) (Overweight; Price Target: ¥7,000)

Investment Thesis

In the short term, we expect increased demand for factory automation systems and optical semiconductors driven by growing data center investments, and in the medium term, we anticipate expanding demand for power supplies/equipment and IT cooling systems accompanying the shift to DC800V power supplies for data centers, as well as for sensors, radars, missiles, information processing, and satellite communications technologies related to new defense areas (drones, AI, electronic warfare, and satellite and space domain utilization). Capital allocation aimed at restructuring the business portfolio and increasing ROE also remains a focus.

Valuation

Our end-December 2026 price target of ¥7,000 values the shares at a 10% conglomerate discount to the theoretical share price we derive using an SOTP model based on our FY2027 forecasts. Target multiples in our SOTP model are based on EV/EBITDA multiples of comparable companies.

Price target based on sum-of-the-parts valuation (FY2027E)

	EBITDA	OP	D&A	EV/EBITDA	EV	Per share
	(mn JPY)	(mn JPY)	(mn JPY)	(x)	(mn JPY)	(JPY)
Infrastructure	255,000	215,000	40,000	17.5	4,462,500	2,239
Industry and Mobility	265,000	195,000	70,000	14.3	3,779,500	1,897
FA Systems	172,000	123,000	49,000	19.0	3,268,000	1,640
Automotive Equipment	93,000	72,000	21,000	5.5	511,500	257
Life	290,000	215,000	75,000	12.9	3,740,000	1,877
Building Systems	30,000	0	30,000	12.0	360,000	181
AC Systems & Home Products	260,000	215,000	45,000	13.0	3,380,000	1,696
Digital Innovation	20,000	12,000	8,000	12.0	240,000	120
Semiconductor Devices	119,000	69,000	50,000	17.7	2,111,500	1,060
Total	949,000	706,000	243,000	15.1	14,333,500	7,192
All Other / Corporate	-7,000	-16,000	9,000	15.1	-105,727	-53
Corporate value					14,227,773	7,139
Net debt					-405,924	-204
Market value					14,633,698	7,343
			Equity-method investment income	PER	Market Value	
Equity-method subsidiaries			45,000	18	810,000	406
Number of outstanding shares (K)					1,992,864	
Theoretical value (JPY)					7,749	
Discount					-10%	
Target Price (JPY)					7,000	

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Risks to Rating and Price Target

Upside Scenario to Target Price/Rating

- Further improvement in the factory automation and semiconductor device cycles
- Stronger-than-expected demand and profitability in the air conditioning business
- Order growth in infrastructure, defense, and data center-related businesses

Downside Scenario to Target Price/Rating

- Decline in factory automation system and semiconductor device demand owing to a

slowdown in macro demand

- Delays in pass-throughs of sharp material cost increases
- Reductions of defense budgets and data center investment plans

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Mitsubishi Electric (6503) (6503.T, 6503 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
19-Mar-24	N	2474	2,250
09-Jul-24	N	2734	3,000
04-Sep-24	N	2448	2,700
06-Jan-25	N	2687	2,800
27-Jun-25	N	3034	3,000
12-Sep-25	OW	3766	4,300
09-Jan-26	OW	4711	5,400
25-Feb-26	OW	5916	6,500
01-Jul-26	OW	5876	7,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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